

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No.: 16-16

MAVL CAPITAL, INC.,
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

Complainants,

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

Respondents.

**COMPLAINANTS' BRIEF IN SUPPORT OF
ITS' EXCEPTIONS TO INITIAL DECISION**

Complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY ("complainants"), by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submit the following Brief and Exceptions to the Initial Decision issued in this proceeding by the Presiding Officer on January 17, 2017.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

TABLE OF CONTENTS

	PAGE
I. INTRODUCTION.....	1
II. RELEVANT PROCEDURAL HISTORY.....	6
<i>Brief Background of the History between the Parties and the Ongoing Federal Litigation.....</i>	6
<i>A Related Matter at the Federal Maritime Commission Involving the Same Porsche and Mercedes from Which This Action Arises.....</i>	7
<i>The Instant Federal Maritime Commission Proceeding.....</i>	7
III. ARGUMENT.....	9
A. COMPLAINANTS HAVE ARTICULATED ARGUMENTS THAT THE RESPONDENTS VIOLATED SECTION 41104(10) OF THE SHIPPING ACT IN CONNECTION WITH THE MERCEDES.....	9
<i>Complainants Have Not Abandoned Their Claim That Respondents Have Refused To Deal or Negotiate With Respect To the Mercedes.....</i>	9
<i>The Presiding Officer Misinterpreted the Allegations in the Complaint and the Facts Set Forth In the Ovstrovskiy Certification in Finding That Complainants Had Abandoned Their Claims.....</i>	11
B. COMPLAINANTS HAVE STATED A CLAIM OF VIOLATION OF SECTION 41102(c) OF THE SHIPPING ACT IN CONNECTION WITH THE MERCEDES.....	13
<i>The Record Contains Evidence of a Contract between the Parties for International Ocean Carriage of the Mercedes to Germany.....</i>	13
<i>MTL Accepted Oral Instructions from Complainants for the Export of Vehicles.....</i>	14
<i>Industry Standard, Custom, and Practice for Export of Automobiles Establishes that an NVOCC's Receipt of a Title for a Vehicle is Indicia of Consent to Enter Into a Contract of Carriage.....</i>	18
<i>The Respondents Admitted That the Purported Lien Was Not a Warehouse Lien.....</i>	20
<i>Respondents Intentionally Misdeldivered the Mercedes to Dubai.....</i>	25
<i>Respondents' Inconsistent Statements Regarding the Mercedes.....</i>	27
<i>Any Monies Received By Respondents As A Result Of the Sale of the Mercedes Were Not Applied To Satisfy a "Warehouse Lien" Because No Such Warehouse Lien Ever Existed.....</i>	27
<i>Respondents' Conversion of the Mercedes Did Not Take Place While It Was in Storage in MTL's Warehouse.....</i>	28
CONCLUSION.....	31

TABLE OF CASES

<u>CASE</u>	<u>PAGE</u>
<i>Adair v. Penn-Nordic Lines, Inc.</i> , 26 S.R.R. 11 (ALJ 1991)	24
<i>Blaisdell Auto. Co. v. Nelson</i> , 130 Me. 167, 154 A. 184 (1931)	29
<i>Bostic v. City of Binghamton</i> , No. 3:06–CV–540, 2006 WL 2927145 (N.D.N.Y. 2006)	10
<i>Canaveral Port Auth. -Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate</i> , 29 S.R.R. 1436 (FMC 2003)	11, 12
<i>City of Los Angeles v. Preferred Communications, Inc.</i> , 476 U.S. 488 (1986)	9
<i>Cole-Hoover v. Shinseki</i> , No. 10-CV-669, 2011 WL 1793256 (W.D.N.Y., 2011)	10
<i>Cortec Indus., Inc. v. Sum Holdings L.P.</i> , 949 F.2d 42 (2d Cir.1991)	10
<i>E.J. Sales & Service, Inc. v. Southeast First Nat'l Bank of Miami</i> , 415 So.2d 906 (Fla. 3d DCA 1982)	30
<i>Envases Venezolanos, S.A. v. Collazo</i> , 559 So. 2d 651 (Fla. Dist. Ct. App. 1990)	30
<i>Gen. Fin. Corp. of Jacksonville v. Sexton</i> , 155 So. 2d 159 (Fla. Dist. Ct. App. 1963)	30
<i>Hovland v. Farmers Union Elevator Co.</i> , 67 N.D. 71, 269 N.W. 842 (1936)	29
<i>Jemzura v. Jemzura</i> , 36 N.Y.2d 496, 369 N.Y.S.2d 400, 330 N.E.2d 414 (1975)	15
<i>Leonard T. v. Israel Discount Bank of New York</i> , 199 F.3d 99 (2d Cir.1999)	10
<i>Lisa Anne Cornell and G. Ware Cornell, Jr. v. Princess Cruise Lines, Ltd. (Corp); Carnival Plc; and Carnival Corporation</i> , (FMC Docket No. 13-02, July 23, 2013), 2013 WL 9808684	11
<i>Local Union 813, International Brotherhood of Teamsters v. Waste Management of New York, LLC</i> , 469 F.Supp.2d 80 (E.D.N.Y.2007)	16
<i>Maas v. Cornell Univ.</i> , 94 N.Y.2d 87, 699 N.Y.S.2d 716, 721 N.E.2d 966 (1999)	15
<i>Martin v. Campanaro</i> , 156 F.2d 127 (2d Cir. 1946)	16
<i>Mills v. Polar Molecular Corp.</i> , 12 F.3d 1170 (2d Cir.1993)	10
<i>More v. W. Grain Co.</i> , 31 N.D. 369, 153 N.W. 976 (1915)	29

<i>Motors Ins. Corp. v. Union Mkt. Garage</i> , 207 S.W.2d 836 (Mo. Ct. App. 1948)	29
<i>Nadel v. Play-By-Play Toys & Novelties, Inc.</i> , 208 F.3d 368, 376 n. 5 (2d Cir.2000)	16
<i>National Union Fire Ins. Co. v. Caribe Aviation, Inc.</i> , 759 F.2d 873 (11th Cir.1985)	30
<i>Nat'l Union Fire Ins. Co. of Pennsylvania v. Carib Aviation, Inc.</i> , 759 F.2d 873 (11th Cir. 1985)	30
<i>New Orleans Stevedoring Co. v. B d. of Commissioners of the Port of New Orleans</i> (FMC No. 00-11), 2001 WL 865692	11
<i>Operating Local 649 Annuity Trust Fund v. Smith Barney Fund Mgmt., LLC</i> , 595 F.3d 86 (2d Cir. 2010)	9
<i>Rolette State Bank v. Minnekota Elevator Co.</i> , 50 N.D. 141, 195 N.W. 6 (1923)	29
<i>Russo v. Banc of America Securities</i> , 2007 WL 1946541 (S.D.N.Y.2007)	15
<i>Senfeld v. Bank of Nova Scotia Trust Co. (Cayman)</i> , 450 So.2d 1157 (Fla. 3rd Dist.Ct.App.1984)	30
<i>Software For Moving, Inc. v. Frid</i> , 09 CIV 4341 DLC, 2010 WL 2143670 (S.D.N.Y. 2010)	9
<i>Star Fruit Co. v. Eagle Lake Growers, Inc.</i> , 33 So.2d 858 (Fla.1948)	30
<i>State v. Farmers' Elevator Co.</i> , 59 N.D. 679, 231 N.W. 725 (1930)	29
<i>Tang v. Jinro Am., Inc.</i> , No. CV-03-6477, 2008 WL 4163183 (E.D.N.Y. 2008)	15
<i>Total Fitness Equipment, Inc. v. Wordlink Logistics, Inc.</i> , 28 S.R.R. 45 (ALJ 1997)	24
<i>Tucker v. Fianson</i> , 484 So.2d 1370 (Fla. 3d DCA 1986)	30
<i>V'Soske v. Barwick</i> , 404 F.2d 495 (2d Cir. 1968)	16
<i>William J. Brewer v. Saeid B. Maralan</i> , 28 S.R.R. 1331 (ALJ 2000)	24
<i>Yakov Kobel et al. v. Hapag-Lloyd A.G., et al.</i> , (FMC Docket No.: 10-06), (ALJ February 14, 2012) 2012 WL 11914695	24

I. INTRODUCTION

This case was initiated by complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY against respondent Non-Vessel Operating Common Carrier (“NVOCC”) MARINE TRANSPORT LOGISTICS, INC. (“MTL”) and its Director of Operations DIMITRY ALPER wherein complainants allege that respondents violated sections of the Shipping Act of 1984, 46 U.S.C. §40101, *et. seq.* (the “Shipping Act”) and the Commission's regulations at Part 515, in connection with certain vehicles owned by complainants, to wit: a 2006 Mercedes SL65, a 2011 Porsche Panamera, and three motorcycles - a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883. Specifically, the violations of the Shipping Act alleged against respondents in this action include, *inter alia*, with respect to Complainant’s cargo, that the respondents, in violation of 46 U.S.C. §§41102, 41104, and the FMC’s regulations at 46 C.F.R. Part 515:

- i. Failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- ii. Unreasonably refused to deal or negotiate;
- iii. Retaliated against Complainants because the Complainants had patronized another carrier;
- iv. Knowingly misdelivered Complainants’ cargo; and
- v. Converted Complainants’ cargo under the false premise of having exercised a maritime lien.

In the first instance, it should be noted that the Initial Decision (“ID”) was reached upon an Order to Show Cause issued *sua sponte* by the Presiding Officer as to "why the allegations in [the] Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon

which relief can be granted”, and was reached prior to any discovery taking place in this matter and the development of a full and complete record. Complainants note that discovery is indeed needed in order to assist the Commission in developing a complete record in light of the conflicting statements made by respondents in this matter regarding the subject Mercedes described above which conflict with statements made by respondents in an ongoing matter at the Commission captioned as Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. et al., (FMC Docket No.: 15-04).

As set forth in detail herein, while respondents claim in this matter to have sold said Mercedes to a third-party known as Middle East Asia Alfa FZE (“MEAA”) pursuant to a general lien for the sum of \$3500.00, the respondents have in Crocus Investments, LLC, *supra*, at the very same time claimed that the \$3500.00 paid by MEAA was for the purchase of a “boat trailer”. Moreover, as explained below, in the Crocus matter, the president of MEAA denies ever having purchased said Mercedes from the respondents herein.

To the extent that the ID finds that “[t]he record does not contain evidence of a contract between the parties for the international ocean carriage of the Mercedes to Germany...” (ID at p. 14, a copy of which is annexed hereto as **Appendix “1”**), it respectfully submitted that complainants have not yet had the opportunity to proceed with discovery herein and develop a full record containing the evidence which the ID found to be lacking.

Additionally, and in some instances the ID *reaches conclusions of fact* on key issues *with no factual support whatsoever in the record*, for example, stating on page “15” that “it does not seem plausible that MTL would enter into a contract of carriage to transport the Mercedes at a time when MTL claims Complainants owed it \$900 in storage fees”¹. As explained herein, this

¹ The Commission is respectfully asked to note that by the time respondents claimed that \$900.00 was allegedly due and owing, that the Mercedes had already been exported to Dubai.

conclusion is wholly belied by documentary evidence that was annexed to Complainants' Response to the Presiding Officer's Order to Show Cause (as well as Complainants' Reply to Respondents' Response to the Order to Show Cause). Specifically, and in support of complainants' arguments with respect to the Mercedes that: (1) the Commission had subject matter jurisdiction over complainants' claims herein; and (2) complainants had stated a cause of action for which relief could be granted, complainants previously annexed a copy of sworn responses to interrogatories that were answered by the alleged president of respondent MTL, Alla Solovyeva, a copy of which is now annexed hereto as **Appendix "2"**, where she explained that MTL sold said vehicle "...pursuant to clause 15 of the MTL *House Bill of Lading...for unpaid freight* and other charges...". Complainants also previously annexed a sworn declaration of respondent Alper, a copy of which is now annexed hereto as **Appendix "3"** wherein he states that the \$900.00 in "storage fees" for the Mercedes are allegedly due and owing "to date" (March 2014) ultimately begging the question as to whether or not the Mercedes was sold to satisfy "storage fees" for a "warehouse lien" as found by the Presiding Officer. As explained in detail below, the Commission is also respectfully asked to note that the \$900.00 in storage fees which allegedly became due and owing *prior* respondents' purported sale of the Mercedes for \$3500.00 (alleged to have taken place December 6, 2013) are still somehow due and owing "to date" (March 2014), further begging the question as to whether *any* monies were *ever* applied towards satisfying a "warehouse" lien which the Presiding Officer erroneously found to have been the basis for respondents' confiscation of the Mercedes.

The ID also completely ignores or gives little regard to the material evidence and arguments posited by complainants as to the existence of a contract between the parties for the international ocean carriage of the Mercedes to Germany, the existence of which was *admitted*

by respondents in the sworn responses to interrogatories described above and also established by the documentary evidence previously annexed to Complainants' Response to the Presiding Officer's Order to Show Cause and to Complainants' Reply to Respondents' Response thereto, such as the backside of the MTL House Bill of Lading containing "clause 15" described herein, a copy of which is now again annexed hereto as **Appendix "4"**.

Further, The ID held that with respect to the subject Mercedes, that complainants did not articulate any argument that respondents had violated various sections of the Shipping Act (specifically sections 41104(10) and 41104(3) of the Act), and found that complainants have effectively abandoned those claims. Additionally, the ID held that complainants did not state facts that would support a finding that they entered into a contract of carriage to transport the Mercedes and failed to state a claim for violation of section 41102(c) in connection with the Mercedes.

First, in holding that complainants have abandoned claims for sections 41104(10) of the Shipping Act, the Presiding Officer misinterpreted allegations already set forth within the Complaint as supplemented by the Certification of Maxim Ostrovskiy, which was submitted in response to the Presiding Officer's Order to Show Cause, copy of which is now again annexed hereto as **Appendix "5"**. Specifically, the Complaint alleged that the respondents unlawfully shipped complainants' Mercedes overseas without complainants' authorization, where it was subsequently sold (See, Complaint at ¶¶ "31" – "35", a copy of which is annexed hereto as **Appendix "6"**). Mr. Ostrovskiy further explained in his Certification that: (1) on or about June 1, 2013, he visited MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle; and (2) instead of following his instructions to export the car

back to Germany, that the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without his permission or direction to ship it to that location (See, Appendix “5” at ¶¶ “13” – “17”).

As explained herein, and in light of the low threshold needed for pleadings to withstand a motion to dismiss as articulated above, it cannot be said that complainants have abandoned their claim that respondents have refused to deal or negotiate with respect to the Mercedes.

Second, and in arriving at the conclusion that no contract existed between the parties for the international ocean carriage of the Mercedes to Germany, the ID wholly ignored the course of dealing between the parties as set forth in the sworn responses to interrogatories by MTL’s principal, Alla Solovyeva, as well as principles of contract law regarding implied contracts, in that Alla Solovyeva *admitted* that MTL received oral instructions from complainants for export of complainants’ vehicles overseas (See, Appendix “2” at ¶ “4”).

Third, as additionally explained below, the documentary evidence on the record further establishes that the purported lien which respondents exercised *was not a warehouse or storage lien* as erroneously found by the Presiding Officer due to the fact that: (1) respondents admitted that that the lien was for “*unpaid freight and other charges...*” (See, Appendix “2” at ¶ “3”); (2) pursuant to the course of dealing between the parties, as well as MTL’s tariff regarding vehicles received for export overseas that complainants received thirty (30) free days of storage for the Mercedes (a copy of the relevant portion of the tariff previously provided to the Presiding Officer is again annexed hereto as **Appendix “7”**); (3) subsequent to the exercise of the purported lien (erroneously found by the Presiding Officer to be a “warehouse lien” for the Mercedes), that respondents still claim, to this date, that a balance of \$900 is still due and owing for the storage of the Mercedes, and with respect to this last claim, it is notable that the

Mercedes, valued *in excess of \$40,000.00* was allegedly sold under a lien to satisfy \$900.00 of storage charges, which respondents allege is still unsatisfied.

In error, the ID also denies complainants leave to amend the complaint in order to supplement complainants' allegations with respect to the subject Mercedes. As set forth herein, the material evidence and arguments posited by complainants as to the existence of a contract between the parties for the international ocean carriage of the Mercedes to Germany do not conflict with the allegations set forth in the Complaint.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations, allowing the ID to stand would effectively sanction respondents' actions and allow the respondents to continue to engage in their modus operandi of defrauding innocent shippers.

As set forth below, complainants have indeed alleged and/or set forth sufficient facts that would support a finding that they entered into a contract of carriage to transport the Mercedes, and that the Commission has jurisdiction of complainants' claims with respect to said vehicle, thus warranting that the Commission now reverse the ID, grant leave to amend the Complaint and remand the matter for further proceedings.

II. RELEVANT PROCEDURAL HISTORY

Brief Background of the History between the Parties and the Ongoing Federal Litigation

As noted in the underlying briefs by the parties as well as in the ID, there is an ongoing lawsuit between the parties herein in the U.S. District Court for the Eastern District of New York regarding the very same vehicles which are the subject of the instant proceeding, captioned as *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.* (U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110). In said lawsuit, complainants have alleged causes of action against

respondents herein and others sounding in breach of fiduciary duty, conversion, civil conspiracy, tortious interference with business relations, violations of the New York Consumer Fraud Act (General Business Law §349), common law fraud, and violations of the RICO statute. Complainants specifically alleged that respondents used the pretext of false and fraudulent maritime liens as alleged justification for illegally converting the subject automobiles and complainants' other property, allowing respondents to unlawfully and unjustly enrich themselves.

A Related Matter at the Federal Maritime Commission Involving the Same Porsche and Mercedes from Which This Action Arises

On or about May 27, 2015, an action was started against respondent herein, MTL, and others, captioned as *Crocus Investments, LLC. and Crocus, FZE v. Marine Transport Logistics, Inc. and Aleksandr Solovyev a/k/a Royal Finance Group Inc.* (FMC Docket No.: 15-04). The Commission is asked to note that the Mercedes and Porsche which are the subject of the instant action are also the subject of Docket No.: 15-04, and that complainants herein have made reference to deposition testimony (described below) taken from respondents in that matter, in which respondents have admitted that the Mercedes was exported to Dubai at the “request of a customer in the U.S.A.” As also argued by complainants in response to the Presiding Officer’s Order to Show Cause, while respondents claim in this matter to have sold said Mercedes to a third-party known as MEAA, described above, pursuant to a general lien for the sum of \$3500.00, the respondents have in Crocus Investments, LLC, supra, at the very same time claimed that the \$3500.00 paid by MEAA was for the purchase of a “boat trailer”.

The Instant Federal Maritime Commission Proceeding

On August 5, 2016, complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY initiated this proceeding against respondents Marine Transport

Logistics, Inc. (MTL) and Dmitry Alper alleging that Respondents violated sections 41102(c), 41104(3) and 41104(10) of the Shipping Act, and the Commission's regulations at Part 515, in connection with certain vehicles owned by Complainants, to wit: a 2006 Mercedes SL65, a 2011 Porsche Panamera, and three motorcycles- a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883.

On August 11, 2016, the Secretary of the Commission issued a Notice of filing of Complaint and Assignment assigning this proceeding to the Office of the Administrative Law Judges. Respondent Alper filed his Answer on August 31, 2016, and respondent MTL filed its Answer on September 6, 2016.

On September 15, 2016, the Presiding Officer *sua sponte* issued an Order directing Complainants to show cause by October 3, 2016, "why the allegations in their Complaint regarding the 2006 Mercedes SL65 and [the Harley Davidson motorcycles] should not be dismissed for lack of subject matter jurisdiction or for failure to state a claim upon which relief can be granted." Thereafter the parties submitted their respective briefs in response to the Order to Show Cause (copies of which are annexed hereto as Appendices "8", "9", "10" and "11")², and the Presiding Officer issued the Initial Decision Partially Dismissing the Complaint on January 17, 2017, from which these Exceptions arise.

As explained in detail below, with regard to the subject Mercedes, complainants have established that there is a cognizable claim for relief under the Shipping Act and that amendment of the Complaint would not be futile.

² The appendices to the parties' briefs in response to the Order to Show Cause have been omitted in order avoid duplicative voluminous filings on the docket.

ARGUMENT

A. COMPLAINANTS HAVE ARTICULATED ARGUMENTS THAT THE RESPONDENTS VIOLATED SECTION 41104(10) OF THE SHIPPING ACT IN CONNECTION WITH THE MERCEDES

Complainants Have Not Abandoned Their Claim That Respondents Have Refused To Deal or Negotiate With Respect To the Mercedes

In reaching the decision to dismiss complainants' claims with respect to the subject Mercedes, the Presiding Officer stated that complainants abandoned their claims with respect to respondents violations of Section 41104(10) of the Shipping Act and cited to the standard set forth in the Federal Rules of Civil Procedure ("FRCP") regarding motions for dismissal, specifically referring to FRCP Rules 12(b)(1) and 12(b)(6) (See, Appendix "1" at pp. 5-8). It is respectfully submitted that in accordance with the standard of review set forth below, the allegations in the Complaint do indeed support a legally cognizable theory of recovery for complainants with respect to section 41104(10) of the Shipping Act.

Standard of Review for Motions to Dismiss Pursuant to FRCP 12

The standard for a motion to dismiss under Fed. R. Civ. P. 12(b)(6) is well known to this Tribunal. "Under Federal Rule of Civil Procedure 8(a)(2), a pleading must contain a short and plain statement of the claim showing that the pleader is entitled to relief. This rule does not require detailed factual allegations. . . A trial court considering a Rule 12(b)(6) motion accepts all well-pleaded allegations in the complaint as true, drawing all reasonable inferences in the plaintiff's favor." See, Software For Moving, Inc. v. Frid, 09 CIV 4341 DLC, 2010 WL 2143670 (S.D.N.Y. 2010) (citing Operating Local 649 Annuity Trust Fund v. Smith Barney Fund Mgmt., LLC, 595 F.3d 86, 91 [2d Cir. 2010]). When deciding a motion to dismiss under Rule 12(b)(6), the Court must accept as true all well-pleaded factual allegations of the complaint and draw all inferences in favor of the pleader. See, City of Los Angeles v. Preferred Communications, Inc.,

476 U.S. 488, 493 (1986); Mills v. Polar Molecular Corp., 12 F.3d 1170, 1174 (2d Cir.1993). “The complaint is deemed to include any written instrument attached to it as an exhibit or any statement or documents incorporated in it by reference.” See, Cortec Indus., Inc. v. Sum Holdings L.P., 949 F.2d 42, 47 (2d Cir.1991). The Court also may consider “matters of which judicial notice may be taken.” See, Leonard T. v. Israel Discount Bank of New York, 199 F.3d 99, 107 (2d Cir.1999). “***Simply stated, the question under Rule 12(b)(6) is whether the facts supporting the claims, if established, create legally cognizable theories of recovery.***” See, Cole-Hoover v. Shinseki, No. 10-CV-669, 2011 WL 1793256, at *3 (W.D.N.Y., 2011) (citing Bostic v. City of Binghamton, No. 3:06–CV–540, 2006 WL 2927145, at *2 (N.D.N.Y. 2006) (emphasis added)).

As demonstrated below, the Complaint satisfies the general standard of notice pleading and overabundantly supports *legally cognizable theories of recovery*, and, when the appropriate legal standards are applied, all of the claims by complainants merit retention at this stage of the litigation.

Section 41104(10) of the Shipping Act

Section 41104(10) of the Shipping Act reads, in relevant part, as follows:

“A common carrier, either alone or in conjunction with any other person, directly or indirectly, may not...

... unreasonably refuse to deal or negotiate...”

Controlling Case Law

It is well settled that in order to prove a violation of section 41104(10), first, a complainant must establish that the respondent is a common carrier within the meaning of the Act. Second, a complainant must establish that the common carrier unreasonably refused to deal or negotiate with the complainant. “This requires a two-part inquiry: whether [the common carrier] refused to deal or negotiate, and, if so, whether its refusal was unreasonable.” See,

Canaveral Port Auth. -Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate, 29 S.R.R. 1436, 1448 (FMC 2003). Refusals to deal or negotiate are factually driven and determined on a case-by-case basis. See, Petchem, Inc. v. Federal Maritime Comm'n, 853 F.2d [958, 963] (D.C. Cir. 1988).

It is additionally well settled that Section 10(b)(10) requires more of a common carrier than simply listening to a potential passenger's request for transportation, then just saying no. "The common carrier must refrain from 'shutting out' any person for reasons having no relation to legitimate transportation-related factors." See, New Orleans Stevedoring Co. v. B d. of Commissioners of the Port of New Orleans, (FMC No. 00-11), 2001 WL 865692, at *8. The issue in this proceeding or any other proceeding alleging a violation of section 10(b)(10) is whether Respondents unreasonably just said no. See, Lisa Anne Cornell and G. Ware Cornell, Jr. v. Princess Cruise Lines, Ltd. (Corp); Carnival Plc; and Carnival Corporation, (FMC Docket No. 13-02, Initial Summary Decision on Respondents' Motion to Dismiss or for Summary Decision, July 23, 2013), 2013 WL 9808684, at *20.

The Presiding Officer Misinterpreted the Allegations in the Complaint and the Facts Set Forth In the Ovstrovskiy Certification in Finding That Complainants Had Abandoned Their Claims

It is respectfully submitted that with respect to complainants' allegations that respondents violated section 10(b)(10) by unreasonably refusing to deal or negotiate regarding the Mercedes, complainants may stand on the allegations already set forth within the Complaint as supplemented by the Certification of Maxim Ostrovskiy, which was submitted in response to the Presiding Officer's Order to Show Cause. Specifically, the Complaint alleged that the respondents unlawfully shipped complainants' Mercedes overseas without complainants' authorization, where it was subsequently sold (See, Appendix "6" at ¶¶ "31" – "35). Mr. Ostrovskiy further explained in his Certification that: (1) on or about June 1, 2013, he visited

MTL's storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, and MTL refused to offer any explanation as to the whereabouts of the vehicle; and (2) instead of following his instructions to export the car back to Germany, that the respondents shipped the Mercedes to the United Arab Emirates on or about August 24, 2013 without his permission or direction to ship it to that location (See, Appendix "5" at ¶¶ "13" – "17").

Pursuant to the case law set forth above regarding unreasonable refusal to deal or negotiate under the Shipping Act, and in light of the low threshold needed for pleadings to withstand a motion to dismiss as articulated above, it cannot be said that complainants have abandoned their claim that respondents have refused to deal or negotiate with respect to the Mercedes. It is undisputed that MTL is a common carrier, thus satisfying the prerequisite that such claims be alleged against common carriers. With respect to the two part inquiry set forth above in Canaveral Port Auth. -Possible Violations of Section 10(b)(10), *supra*, the Complaint, taken in conjunction with the Ostrovskiy Certification sufficiently allege that MTL refused to deal or negotiate with respect to any monies that were purportedly due and owing to MTL for reasons unrelated to the Mercedes, and unilaterally decided to sell the Mercedes to satisfy an alleged debt. Mr. Ostrovskiy specifically explains that MTL refused to offer any explanation as to the whereabouts of the vehicle.

As further set forth below, complainants have also established that a contract of carriage existed between the parties for the ocean transport of the Mercedes. Therefore, if these allegations are to be taken as true for the purposes of the Order to Show Cause, complainants have indeed established that MTL's refusal was unreasonable, and to the extent not clearly

articulated in the Complaint, the complainants should have been granted leave to amend the Complaint.

B. COMPLAINANTS HAVE STATED A CLAIM OF VIOLATION OF SECTION 41102(c) OF THE SHIPPING ACT IN CONNECTION WITH THE MERCEDES

The Record Contains Evidence of a Contract between the Parties for International Ocean Carriage of the Mercedes to Germany

The ID draws erroneous conclusions as to the absence of any contract of carriage between the parties for the export of the Mercedes to Germany by MTL. Specifically, the ID explains as follows:

“The record does not contain evidence of a contract between the parties for international ocean carriage of the Mercedes to Germany, e.g., the agreed upon cost of ocean freight, agreed upon date of shipment, estimated date of arrival, port of loading, port of unloading, port or point of delivery, and identity of the consignee. Storage of a vehicle for maintenance or "in contemplation of export" without a contract of carriage does not constitute international transportation. Therefore, even if the request Complainants allege they made in December 2012 to ship the Mercedes to Germany were considered to be an offer to enter into a contract of carriage, nothing in the record supports a finding that the offer to transport the Mercedes, as distinguished from the offer to store the Mercedes, was accepted. MTL was not "engaged in the course of transporting the [Mercedes] internationally by water" when it was storing the Mercedes.” (Appendix “1” at pp. 14-15)

The ID additionally explains as follows:

Although Complainants allege that in early June 2013 Ostrovskiy told MTL he wanted the Mercedes to be shipped to Germany ("specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of my other cargo" (Ostrovskiy Certification ¶15)), Complainants again do not allege any facts supporting a claim that MTL entered into a contract of carriage with Complainants to transport the Mercedes to Germany. Furthermore, it does not seem plausible that MTL would enter into a contract of carriage to transport the Mercedes at a time when MTL claims Complainants owed it \$900 in storage fees.” (Appendix “1” at p. 15)

As explained in detail below, in drawing the aforesaid erroneous conclusions, the ID wholly ignored the course of dealing between the parties as set forth in the sworn responses to interrogatories by MTL’s principal, Alla Solovyeva, as well as principles of contract law

regarding implied contracts, in that aforestated, Alla Solovyeva *admitted* that MTL received oral instructions from complainants for export of complainants' vehicle overseas.

As additionally explained below, the documentary evidence on the record further establishes that the purported lien which respondents exercised *was not a warehouse or storage lien* as erroneously found by the Presiding Officer due to the fact that: (1) respondents admitted that that the lien was for “*unpaid freight and other charges...*”; (2) pursuant to the course of dealing between the parties, as well as MTL's tariff regarding vehicles received for export overseas that complainants received thirty (30) free days of storage for the Mercedes; (3) subsequent to the exercise of the purported lien (found by the Presiding Officer to be a warehouse lien for the Mercedes), that respondents still claim, to this date, that a balance is still due and owing for the storage of the Mercedes, and with respect to this last claim, it is notable that the Mercedes, valued *in excess of \$40,000.00* was allegedly sold under a lien to satisfy \$900.00 of storage charges, which respondents allege is still unsatisfied.

MTL Accepted Oral Instructions from Complainants for the Export of Vehicles

The Commission is respectfully referred to the page “4” of complainants brief in response to the Presiding Officer's Order to Show Cause (See, Appendix “8”), as well as paragraph “15” of the accompanying Certification of Maixm Ostrovskiy (Appendix”5”) wherein complainants explained as follows:

“In early June of 2013, Mr. Ostrovskiy requested that the respondents release the Mercedes from MTL's storage site *and export it back to Germany*. This request was made verbally. Mr. Ostrovskiy specifically instructed MTL to export the vehicle to Germany to an address previously provided to MTL for export of other cargo. The request was made to export to the following consignee: Anatoli Ostrovski, Arnold STR 2, Dusseldorf Germany, 40749.”

The Commission is additionally respectfully referred to the sworn answers to interrogatories propounded by complainants to MTL in the ongoing Federal litigation wherein

MTL's President, Alla Solovyeva, where MTL explains that authorization for the export of the vehicles was given by plaintiffs orally:

- "4. With respect to all Vehicles: (A) Identify the individuals or entities authorizing you to export these vehicles. (B) Identify the manner in which the individuals or entities authorizing you to export these vehicles provided such authorization. Identify the documents pertaining to the export of these vehicles, including any documents received by you from individuals or entities authorizing you to export this vehicle, and documents filed by you with any government authorities, such as U.S. Customs, the U.S. Census Bureau, and the U.S. Department of Commerce.

Response:

Authorization for the export of the vehicles was given by plaintiffs orally and in writing via e-mail... and implied consent has been given from the course of conduct moving vehicles between plaintiff and MTL."

(See, Appendix "2" at pp. 3-4)

Standard of Review Regarding Implied Agreements

An implied contract (implied-in-fact) is a contract in which some or all of the terms are inferred from the conduct of the parties and the circumstances of the case, though not expressed in words. See, Tang v. Jinro Am., Inc., No. CV-03-6477, 2008 WL 4163183, at *4 (E.D.N.Y. 2008). An implied contract has the same legal effect as an express contract; it carries as much weight and is as binding as an express contract. Id. General contract law recognizes and enforces implied contracts. See, Id.; see also, 17A Am.Jur.2d Contracts § 12 (2007) (citing 1 Williston, Contracts § 1:5). An implied contract "is derived from the presumed intention of the parties as indicated by their conduct." See, Russo v. Banc of America Securities, 2007 WL 1946541 at *4 (S.D.N.Y.2007) (citing Jemzura v. Jemzura, 36 N.Y.2d 496, 369 N.Y.S.2d 400, 330 N.E.2d 414 (1975)).

Implied contracts, of course, are not wholly without formal requirements. An implied contract, though not in writing, "still requires such elements as consideration [and] mutual assent." See, e.g., Maas v. Cornell Univ., 94 N.Y.2d 87, 93-94, 699 N.Y.S.2d 716, 721 N.E.2d

966 (1999) (citing 1 Williston, Contracts § 1:5, at 22). Mutual assent “must be inferred from the facts and circumstances of each case, including such factors as the specific conduct of the parties, industry custom, and course of dealing.” See, Nadel v. Play-By-Play Toys & Novelties, Inc., 208 F.3d 368, 376 n. 5 (2d Cir.2000).

In determining whether there is an implied contract, courts must follow an “objective test, i.e., whether a reasonable man would think the parties intended to make such a new binding agreement and whether they acted as if they so intended.” See, Martin v. Campanaro, 156 F.2d 127 (2d Cir. 1946); see also, Local Union 813, International Brotherhood of Teamsters v. Waste Management of New York, LLC, 469 F.Supp.2d 80, 84-85 (E.D.N.Y.2007). The fact that later negotiations failed does not preclude the existence of an implied contract. See, V'Soske v. Barwick, 404 F.2d 495, 499 (2d Cir. 1968) (the mere fact that the parties contemplate memorializing their agreement in a formal document does not prevent their informal agreement from taking effect prior to that event).

It is respectfully submitted that all of the facts and documentary evidence provided to Presiding Officer in response to the Order to Show Cause establish a textbook case of the existence of an implied contract, squarely within the meaning of the case law cited above, and sufficient to warrant amendment of the Complaint herein. As set forth above, not only did the parties have a course of dealing wherein MTL accepted verbal instructions to ship, but MTL also acknowledged its understanding of complainants’ intent to ship the Mercedes, as well as its own intent to enter into an agreement for the ocean transport of the vehicle when it agreed to store the vehicle for free for thirty (30) days pursuant to the terms and conditions of MTL’s tariff. Page 3-4 of complainants brief in response to the Presiding Officer’s Order to Show Cause, as well as paragraphs 11-12 of the accompanying Certification of Maixm Ostrovskiy explained as follows:

“...because this vehicle *was delivered to MTL’s facility for the sole purpose of being exported back to Germany*, complainants received thirty (30) days of free storage at MTL’s warehouse.” (See, Appendix “8”, pp. 3-4; Appendix “5”, ¶¶ 11-12)

Additionally, complainants explained that:

“This was confirmed by MTL’s Tariff, a copy of which was annexed to complainants brief in response to the Presiding Officer’s Order to Show Cause as Appendix “A”, and which explains that: ‘...shipper will be entitled to 30 days free storage starting from the date of arrival of the vehicle at the warehouse ***in order to allow time to provide the Carrier with the vehicle title, absent which the vehicle will not be loaded into a container...***’.” (Id.)

Lastly, complainants explained that:

“After the thirty free days of storage had expired, MTL began invoicing complainants \$150.00 per month which represented a 50% discount of MTL’s normal storage rate of \$10.00 per day, and this was done in light of the parties’ ongoing business relationship.” (Id.)

In this respect, on page “15” of the ID, the Presiding Officer draws the erroneous conclusion that the thirty (30) days of free storage did not support complainants’ argument, explaining that:

“Complainants find support in MTL's tariff that provides for 30 days free storage prior to a shipment, a benefit Complainants allege they received, and the requirement that a carrier must have the vehicle title to ship a vehicle to a foreign country...Neither giving 30 days free storage in contemplation that the Mercedes would be shipped nor giving MTL the title constitutes the offer, acceptance, and consideration necessary to form a contract of carriage.”.

It is respectfully submitted that MTL’s receipt of the Mercedes and having provided the thirty (30) free days of storage given to vehicles *destined for export* under its tariff is *exactly* the type of evidence of “mutual assent” (in light of the parties’ industry custom, and course of dealing) of the parties’ desire to enter into a contract for the ocean carriage of the Mercedes, which may be inferred, pursuant to the case law cited above, including Nadel, *supra*.

Industry Standard, Custom, and Practice for Export of Automobiles Establishes that an NVOCC's Receipt of a Title for a Vehicle is Indicia of Consent to Enter Into a Contract of Carriage

With respect to the Presiding Officer's finding stated above that complainants having provided the title for the vehicle to respondents does not constitute "the offer, acceptance, and consideration necessary to form a contract of carriage" it is respectfully submitted that this finding was made in error in that it misapprehends standard industry custom and practice with respect to the export of automobiles overseas, where the "handing over" of an original certificate of title *does indeed* establish an agreement to enter into a contract for the ocean carriage of an automobile. If this were a case involving any other type of personal property, complainants would have conceded on this specific point, however, as set forth below, respondents have admitted to the significance of their receipt of the certificate of title (as intent to enter into a contract of carriage), which is a prerequisite for export pursuant to the rules and regulations of U.S. Customs and Border Protection with regard to the export of self-propelled vehicles.

The Certificate of Title Is the Core Requirement in the Customs Export Process, Regardless Of the Vehicle's Economic Value, Physical Condition, or Operating Order

19 CFR 192.2(b) reads, in relevant part, as follows:

"For used, self-propelled vehicles issued, by any jurisdiction in the United States, a Certificate of Title or a Salvage Title that remains in force, the owner must provide to Customs, at the time and place specified in this section, the original Certificate of Title or a certified copy of the Certificate of Title and two complete copies of the original Certificate of Title or certified copy of the original."

The Commission is respectfully referred to paragraph "5" of the sworn responses to interrogatories of Alla Solovyeva, which reads, in relevant part, as follows:

"5. State whether you are required to file any documents with CBP, Department of Commerce, or the ocean liners in reference to the overseas shipment of Containers, Vehicles, or goods, including any filings required under a process known as 'Pipeline', and describe in detail all such documents.

Response:

MTL files a dock receipt ***and a certificate of title with CBP***...MTL provides shipping instructions and a copy of the MTL House Bill of Lading to the Vessel Operating Ocean Common Carrier.”

(See Appendix “2”) (Emphasis added)

With respect to the requirement that MTL file a certificate of title with U.S. Customs and Border Protection (“CBP”) and the reference to the process known as “Pipeline” described above, the Commission is respectfully referred to the CBP Field Operations, New York “Informational Pipeline No. 08-012-NWK” notice, a copy of which is annexed hereto as Appendix “12”. This document explains the local operational procedures and policies of CBP relating to the export of used vehicles, and specifically explains that all required documentation for export of a used vehicle (such as the original certificate of title, dock receipt and bill of lading) must be presented to CBP at least 72 hours prior to export, and that such documentation includes the original certificate of title and a dock receipt. This document further explains that: “the vehicle must be ‘held on dock’ for a minimum of 72 hours after the carrier terminal accepts the vehicle, and export documents are presented to CBP.” Consequently, a certificate of title is not necessary when an NVOCC is simply storing a vehicle with no intention to export it.

In accordance with the established industry custom and practice regarding the export of used vehicles as aforestated, there is no other reason for MTL’s receipt of the certificate of title for the Mercedes other than for MTL to provide said title to CBP during the export process. Consequently, and in accordance with established industry custom and practice regarding the export of used vehicles, MTL’s acceptance of the certificate of title for the Mercedes from complainants does indeed constitute an act from which can be inferred that MTL had entered into a contract of carriage for the export of said vehicle.

The Respondents Admitted That the Purported Lien Was Not a Warehouse Lien

In reaching the erroneous conclusion that the purported lien exercised against the Mercedes by respondents was a “warehouse lien” for unpaid storage, the Presiding Officer overlooked certain arguments proffered by complainants and key pieces of documentary evidence which further demonstrate that a contract of carriage existed and that the lien was an unlawful “general” lien that was exercised by respondents for reasons unrelated to the storage of the Mercedes. On this issue, the ID states as follows:

“Complainants also provide MTL's answers to interrogatories in the New York case as further proof. In those responses, Alla Solovyeva, MTL's president, stated that a company call Car Express & Import, Inc., exported the Mercedes to Dubai where it ‘was sold pursuant to Clause 15 of the MTL Bill of Lading ['LIEN'] for unpaid freight and other charges owed by plaintiffs...Complainants contend that based on Solovyeva's responses to interrogatories, MTL is arguing in the district court that the storage fees for the Mercedes allegedly incurred but not paid by Complainants gave rise to a maritime lien pursuant to MTL' s tariff. MTL does not claim that it had a maritime lien in its brief in support of the order to show cause filed with the Commission. MTL does claim that Complainants did not pay or attempt to pay the storage fees for the Mercedes...”. (Appendix “1” at p. 15)

The ID additionally states as follows:

“Complainants allege that MTL claimed a maritime lien on the Mercedes based on Complainants' alleged failure to pay the storage charge, giving MTL a claimed right to sell the Mercedes. (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6). If MTL has a lien on the Mercedes, the lien does not arise out of a contract to pay freight as required by the principles set forth in *The Bird of Paradise*, but the contract to pay storage fees to which Complainants and MTL agreed in December 2012. Even if there were a contract of carriage, MTL does not claim that Complainants failed to pay freight money, which could arguably be secured by a maritime lien, but storage fees unrelated to a contract of carriage that MTL claims are owed for the Mercedes.

Accordingly, it does not appear that MTL has a maritime lien on the Mercedes. Solovyeva claims that MTL has a lien based on clause 15 of MTL's bill of lading, but neither MTL nor Complainants has submitted as an exhibit an MTL bill of lading with Complainants identified as the shipper and MTL as the carrier that would incorporate that clause. The MTL invoice for storage to Complainants is clearly not linked to the transportation into the United States because MTL was not the carrier. There was no subsequent “union of ship and [Mercedes],” *Krauss Bros. v. Dimon*, to export the Mercedes overseas until it was placed on the vessel

to be transported to Dubai, and Complainants were not involved in that transportation.” (Appendix “1” at p. 17)

In the first instance, the foregoing conclusions made by the Presiding Officer with respect to the sworn responses to interrogatories are incorrect. With regard to MTL's sworn answers to interrogatories in the New York case by Alla Solovyeva, MTL's president, MTL admitted that the Mercedes was: “exported to Dubai, UAE **for sale by Car Express & Import, Inc.** pursuant to Clause 15 of the MTL House Bill of Lading [“LIEN”) **for unpaid freight and other charges...**” (See, Appendix “2” at ¶ 3). Notably, in a sworn declaration from the New York case previously provided to the Presiding Officer in response to the Order to Show Cause (again annexed hereto as Appendix “13”), the president of Car Express & Import, Inc. and Royal Finance Group Inc., Aleksandr Solovyev, stated that: “Car Express and Royal Finance Group **were not involved with the 2006 Mercedes SL65**” (Appendix “13” at ¶ “13”). Respondents’ conflicting statements beg the question as to whether or not Car Express & Import Inc. (“Car Express”) exported the Mercedes to Dubai.

Should there be any doubt as to whether or not complainants (and *not* Car Express) were the shipper of this vehicle, as explained above there is a related case currently pending before the Commission captioned as *Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. et al.* (FMC Docket No.: 15-04) which as explained at length in complainants’ submissions in response to the Presiding Officer’s Order to Show Cause, involves the very same Porsche and Mercedes at issue in the case at bar, in which respondents admitted to misdelivering the subject vehicle to Dubai.

Specifically, the Commission is respectfully referred to pages 5-6 of complainants’ Reply to Respondents’ Response to the Presiding Officer’s Order to Show Cause (See, Appendix “11”, pp. 5-6), wherein complainants explained that during a deposition conducted in the *Crocus*

matter, a statement was made under oath regarding the Mercedes by the president of Car Express, Alexander Solovyev, who professes to be an “agent” of MTL. A copy of Solovyev’s deposition transcript was previously appended to complainants’ reply (and now annexed hereto as Appendix “14”) wherein Solovyev stated that the Mercedes and Porsche were shipped to Dubai and sold at the request “of a customer in the U.S.A.” as follows:

Q. Because I have an e-mail which we provided to you that is between you and Mr. Safonov in December 2013 talking about a Mercedes Benz SL and a Porsche that you had shipped over to Dubai. What’s the deal of that? What was the understanding?

A. ***It was customer who was shipping panorama and a Mercedes.*** It's salvage cars which Andre Trejaykov was supposed to sell it in Dubai. Make his commission and return money back to let's say United States, that’s all.

Q. But do you buy the cars for them and did you charge them for them?

A. No, It's not the business. ***It was a business for one of the customers in U.S.A. which ask me to sell them In Dubai, that’s all.***

(See, Appendix “14” p.89; ln. 7-22) (emphasis added).

Additionally, and as set forth above, the ID erroneously states that: “***Complainants allege that MTL claimed a maritime lien on the Mercedes based on Complainants' alleged failure to pay the storage charge (Complaint ¶ 33; Ostrovskiy Certification ¶¶ 5-6)***”. This conclusion is grossly incorrect in that paragraph “33” of the Complaint reads as follows:

“33. The respondents have further failed to follow all legal prerequisites to selling this vehicle, such as notifying the Complainants prior to the sale, and the requirement that respondents obtain valid title this vehicle. Respondents have further failed to provide documentation establishing that a sale took place, nor have they come forward with the specific sum realized from the sale of the vehicle.” (Appendix “6” at ¶ 33).

and paragraphs 5-6 of the Ostrovskiy Certification read as follows:

“5. It was only after complainants requested that the respondents release the vehicle from long term storage by MTL and export it back to Germany, said vehicle was intentionally shipped to Dubai by respondents and then subsequently sold under the pretext of respondents exercising a maritime lien.

6. The respondents claim to have exercised this lien ***pursuant to the terms and conditions of MTL's house bill of lading under which the vehicle was transported overseas***." (Appendix "5" at ¶¶ 5-6) (Emphasis added)

As set forth above, the conclusions drawn in the ID mischaracterized the allegations in the Complaint and further misstated the facts asserted by Mr. Ostrovskiy in his Certification. Notwithstanding the foregoing, it is the fact that MTL purports to have asserted a general lien based upon MTL's *House Bill of Lading*, (and not a warehouse lien based upon an invoice for storage) which further supports complaints argument that a contract of carriage existed for the ocean transport of the subject Mercedes.

With respect to page "17" of the ID cited above, the Presiding Officer erroneously makes a finding of fact, concluding that "it does not appear that MTL has a maritime lien on the Mercedes" due to the parties' alleged failure to submit "as an exhibit an MTL bill of lading with Complainants identified as the shipper and MTL as the carrier that would incorporate [clause 15 of said bill of lading]...". In the first instance, and as set forth above, respondents have admitted to the existence of the MTL House Bill of Lading, which respondents claim was provided to the Vessel Operating Common Carrier at the time that the vehicle was exported. The Commission is again respectfully referred to paragraph "5" of the sworn responses to interrogatories of Alla Solovyeva cited above, which reads, in relevant part, as follows:

"5. State whether you are required to file any documents with CBP, Department of Commerce, or the ocean liners in reference to the overseas shipment of Containers, Vehicles, or goods, including any filings required under a process known as 'Pipeline', and describe in detail all such documents.

Response:

MTL files a dock receipt and a certificate of title with CBP...MTL provides shipping instructions ***and a copy of the MTL House Bill of Lading to the Vessel Operating Ocean Common Carrier.***"

(See Appendix "2".) (Emphasis added)

The Commission is also respectfully referred to the *backside* of MTL's House Bill of Lading which was previously provided in complainants' Reply to Respondents' Responses to the Commission's Order to Show Cause, and which reads as follows:

"15. LIEN The Carrier shall have a lien on the Goods and any documents relating thereto for all sums payable to the Carrier: (a) Under this Bill of Lading; (b) Under any other contracts with the Merchant, including without limitation, any and all unpaid ocean freight or other charges due from or on account of any previous carriage or other services performed by the Carrier..." (See, Appendix "4").

The foregoing clause "15" which was provided by complainants in response to the Presiding Officer's Order to Show Cause is significant in that it purports to allow respondents to assert a general lien for monies due and owing for "unpaid ocean freight or other charges due from ***or on account of any previous carriage or other services performed by the Carrier...***" which is clearly prohibited by the Shipping Act. See, e.g., Yakov Kobel et al. v. Hapag-Lloyd A.G., et al., (FMC Docket No.: 10-06), (ALJ February 14, 2012) 2012 WL 11914695, at *31 (citing Adair v. Penn-Nordic Lines, Inc., 26 S.R.R. 11 (ALJ 1991) (freight held to pay off previous alleged debts of the freight forwarder); Total Fitness Equipment, Inc. v. Wordlink Logistics, Inc., 28 S.R.R. 45 (ALJ 1997) (NVOCC refused to release cargo, demanding three times more freight money); William J. Brewer v. Saeid B. Maralan, 28 S.R.R. 1331 (ALJ 2000), aff'd in relevant part, 29 S.R.R. 6 (FMC 2001) (NVOCC refused to release goods and demanded more money than originally quoted)).

Clause "15" of the MTL Bill of Lading is also significant in that it makes reference to two possible scenarios under which respondents purport to assert a lien, to wit: (1) under MTL's bill of lading (which establishes the existence of a contract for ocean carriage); or (2) under "any other contracts with the Merchant...". Assuming arguendo (as stated throughout the ID) that respondents have purported to assert a lien "under any other contracts with the Merchant", and specifically a "warehouse lien" for an alleged "contract" for storage of the Mercedes, the

Commission is urged to take note of the invoice for storage of the Mercedes in the amount of \$150.00 which was previously provided in response to the Order to Show Cause (annexed hereto as Appendix “15”), which reads, in relevant part, as follows:

“TERM AND CONDITIONS:

This invoice contains cash outlay advances for your account. ***Payments must be received no later than 10 business days after sailing date.*** Past due invoices are subject to mandatory late payment fee of \$250 plus the cost of collection. Please remit promptly. All sales are final. No refunds. Marine Transport Logistics credit only. All ocean freight rates are quoted "ALL IN" to include: Base ocean freight, Loading, Lashing, Drainage and Export documentation filing.” (Emphasis added).

Thus, even the storage invoices upon which respondents purport to have asserted a lien clearly make reference to the requirement that payment be received within 10 days “after sailing date” and further establishing that complainants provided sufficient evidence in response to the Order to Show Cause that a contract of ocean carriage for the Mercedes had existed and further warranting that leave be given to amend the Complaint herein.

Respondents Intentionally Misdeldivered the Mercedes to Dubai

It is respectfully submitted that the respondents violated the shipping act by intentionally misdelivering the subject Mercedes to Dubai *prior* to selling the vehicle under the pretext of a maritime lien and *not* a “warehouse lien”. As aforesated, by respondents’ own admission, the Mercedes was misdelivered to Dubai, where it was subsequently sold. Specifically, the respondents have purported to assert a lien on the Mercedes for monies allegedly due and owing to respondents based upon invoices that were *payable after* the bill of lading was issued, ultimately begging the question as to whether or not this lien was a “warehouse” lien as stated in the ID. In other words, how could the respondents have asserted a warehouse lien against the Mercedes *prior to shipment* when the invoices that the purported lien was based upon were not payable until *after the date of the ocean liner bill of lading* (dated August 24, 2013) for the export of the Mercedes to Dubai?

On this issue, the Commission is respectfully referred to the Memorandum in Opposition to Plaintiff's Motion for Injunctive Relief in the matter of *MAVL Capital Inc. et al. v. Marine Transport Logistics Inc. et al.*, U.S.D.C. – E.D.N.Y. Docket No.: 13-cv-7110 (which was previously annexed to complainants' reply to respondents' response to the Presiding Officer's Order to Show Cause, and is now annexed hereto as Appendix "16"), wherein respondents explain as follows:

“...if Plaintiffs now agree to post a security bond to the court in the amount of \$61,754¹ **for the outstanding debts owed by [plaintiffs]**, Defendants will also now agree to release (without prejudice) the following 3 ‘vehicles’...”

(See, Appendix “16” at p. 2)

The sum of \$61,754 is further broken down in a footnote on page “2” of the aforementioned Memorandum in Opposition to Plaintiff's Motion for Injunctive Relief, wherein respondents explain as follows:

“\$61,754 is the total amount owed by Plaintiffs to MTL on: Invoices no. 27764 (\$1,600), 27382 (\$750), 27343 (\$1,160), 20059 (\$1,504) and 27702 (\$16,501); plus \$40,239 owed to Royal Finance Group on Invoice no. 1173MO...”

(Id.)

On page “2” of the aforementioned Memorandum in Opposition, respondents further explain that:

“Defendants sold the Mercedes SL65...to third-parties to recover outstanding debts owed by Plaintiffs...”

(Id.)

By way of example, Invoice no. 27764 in the amount of \$1,600 which is part of the “outstanding debt” for which the Mercedes was allegedly sold is dated August 19, 2013 and payment was due on August 26, 2013; and Invoice no. 27702 in the amount of \$16,501 was dated August 16, 2013 and payment was due on August 26, 2013. Again, the ocean liner bill of

lading for the export of the Mercedes, a copy of which is annexed hereto as Appendix “17” is dated August 24, 2013. Therefore, if MTL issued its house bill of lading for the export of the Mercedes *prior* to the date the ocean liner issued its bill of lading and *prior* to the date that monies were allegedly due and owing to respondents under the invoices (and for which respondents purport to have sold the Mercedes under the pretext of a lien) the conclusion drawn in the ID that this was a warehouse lien exercised *prior to shipment* simply does not make sense.

Respondents’ Inconsistent Statements Regarding the Mercedes

It is additionally notable that in the related Federal matter, respondents claim to have sold the Mercedes in order to recover “outstanding debts owed by plaintiffs” and claim to have asserted a lien upon the Mercedes for “prior debts” pursuant to clause “15” of MTL’s Bill of Lading (See, Appendix “16”, pp. 2; 17-18). Respondents specifically claimed to have sold the Mercedes to third-party MEAA for \$3500 via wire transfer paid by MEAA to respondents, a claim denied by MEAA’s President, Alexander Safonov in a Certification previously provided to the Presiding Officer, a copy of which is annexed hereto as Appendix “18”). At the very same time, the respondents have in Crocus Investments, LLC, *supra*, claimed that the \$3500.00 paid by MEAA was for the purchase of a “boat trailer” (See, Respondents' Proposed Findings of Fact, and Response To Complainants' Proposed Findings of Fact from the Crocus matter, previously provided to the Presiding Officer in response to the Order to Show Cause, annexed hereto as Appendix “19” at p. 6).

Any Monies Received By Respondents As A Result Of the Sale of the Mercedes Were Not Applied To Satisfy a “Warehouse Lien” Because No Such Warehouse Lien Ever Existed

Complainants also respectfully refer the Commission to the sworn declaration of respondent Alper wherein he states that the \$900.00 in “storage fees” for the Mercedes are allegedly due and owing “to date” (March, 2014) (See, Appendix “3” at ¶ “12”) ultimately

begging the question as to whether or not the Mercedes was sold to satisfy “storage fees” for a “warehouse lien” as found by the Presiding Officer. As explained by respondents, the \$900.00 in storage fees which respondents claim are due and owing are based upon an “Open Invoices” list which Alper annexed to his sworn declaration as Exhibit “A” thereto, listing storage invoices which purport to have been due between January 11, 2013 and May 9, 2013.

If the respondents purport of have received \$3500.00 from MEAA via wire transfer on December 6, 2013 (See, Appendix “18” at ¶ 5 and Exhibit “A” thereto) for the alleged sale of the Mercedes, then how is it that the \$900.00 allegedly due prior thereto still remain due and owing “to date”? This further begs the question as to whether *any* monies were *ever* applied towards satisfying a “warehouse” lien which the Presiding Officer erroneously found to have been the basis for respondents’ confiscation of the Mercedes.

Respondents’ Conversion of the Mercedes Did Not Take Place While It Was in Storage in MTL’s Warehouse

It is respectfully submitted that that the Presiding Officer erroneously determined that the respondents converted complainants’ Mercedes *prior* to its shipment to Dubai. The ID incorrectly stated that the act of transfer of title in Dubai was not the final act of conversion. Specifically, page “20” the ID explains as follows:

“...conversion is not dependent on change of ownership such as the issuance of a new title. MTL's alleged "unauthorized assumption and exercise of the right of ownership" occurred at some time before the Mercedes was loaded on board the Maersk ship to be transported to Dubai, not after it arrived in Dubai when title was transferred. This claim is without merit.”

As set forth below, it is respectfully submitted that not only have complainants sufficiently plead and have established facts (by way of their response to the Presiding Officer’s Order to Show Cause) that a contract of carriage existed for the ocean transport of the subject

Mercedes, but that the conversion ultimately took place when said vehicle was sold in Dubai and title changed hands.

Standard of Review

Inasmuch as the ID discussed the creation of a bailment whereby complainants placed the Mercedes into the custody and control of the respondents, it is noteworthy that well settled precedent explains that the conversion occurs when the bailee *delivers* the property to one who is not the true owner. See, e.g., Motors Ins. Corp. v. Union Mkt. Garage, 207 S.W.2d 836, 838 (Mo. Ct. App. 1948); (a *delivery* of bailed property by the bailee to one not the true owner and not authorized by the bailor to receive it is, of itself, a conversion *and* a breach of the contract of bailment...even though the misdelivery was the result of innocent mistake or was induced by fraud or trick). It is additionally well settled that *transfer of possession* by conditional buyer of automobile to intended purchaser without seller's consent is "conversion. See, Blaisdell Auto. Co. v. Nelson, 130 Me. 167, 154 A. 184 (1931).

The ID also erroneously explains that the conversion took place at the time that complainants demanded return of the Mercedes and said demand was refused, stating as follows:

"As alleged by Complainants, the first significant event that happened after MTL accepted the Mercedes for storage occurred "[o]n or about June 1, 2013, [when Ostrovskiy] visited MTL' s storage site to obtain possession of the vehicle to visually inspect it prior to export back to Germany through MTL, **and MTL refused to offer any explanation as to the whereabouts of the vehicle.**" (Appendix "1" at p. 15)

It is well settled that ***the fact that a demand was made does not necessarily establish that conversion took place when the demand was refused.*** Demand and refusal *do not constitute conversion*, but proof thereof *is merely evidence of conversion*. See, More v. Western Grain Co., 31 N.D. 369, 153 N.W. 976; Rolette State Bank v. Minnekota Elevator Co., 50 N.D. 141, 195 N.W. 6; State ex rel. Hermann v. Farmers' Elevator Co., 59 N.D. 679, 231 N.W. 725; Hovland v. Farmers Union Elevator Co., 67 N.D. 71, 269 N.W. 842, 843 (1936).

With respect to the fixing a moment when the conversion accrued, the general rule applicable here is that a tort claim “***is deemed to have accrued where the last event necessary to make the defendant liable for the tort took place.***” See, Tucker v. Fianson, 484 So.2d 1370, 1371 (Fla. 3d DCA 1986), review denied, 494 So.2d 1153 (1986); E.J. Sales & Service, Inc. v. Southeast First Nat’l Bank of Miami, 415 So.2d 906 (Fla. 3d DCA 1982); Star Fruit, 160 Fla. at 132, 33 So.2d at 860 (“***[t]he gist of a conversion ... [is] ... not the acquisition of the property of the wrongdoer, but the wrongful deprivation of a person of property to the *653 possession of which he is entitled.***”); see also, National Union Fire Ins. Co. v. Caribe Aviation, Inc., 759 F.2d 873, 878 (11th Cir.1985) (“[t]he essence of [conversion] is not the acquisition of the property; rather it is the wrongful deprivation”); Gen. Fin. Corp. of Jacksonville v. Sexton, 155 So. 2d 159, 161 (Fla. Dist. Ct. App. 1963); (“[t]he gist of the action is ... the wrongful deprivation of the property of the owner and neither manucaption nor asportation is an essential element thereof”); Envases Venezolanos, S.A. v. Collazo, 559 So. 2d 651, 652–53 (Fla. Dist. Ct. App. 1990).

Therefore, the conversion indeed took place at the time that the title for the Mercedes changed hands in Dubai and *after* the respondents unlawfully exercised a maritime lien for monies allegedly due and owing to respondents which were unrelated to the ocean transport of said vehicle. The respondents, as bailees (as characterized in the ID), committed the act of conversion at the moment that they terminated the trust/terms of the bailment and permanently deprived complainants of the Mercedes. See, Nat’l Union Fire Ins. Co. of Pennsylvania v. Carib Aviation, Inc., 759 F.2d 873, 878 (11th Cir. 1985) (citing to Senfeld v. Bank of Nova Scotia Trust Co. (Cayman), 450 So.2d 1157, 1160-61 (Fla. 3rd Dist.Ct.App.1984) (footnote omitted) (citing Star Fruit Co. v. Eagle Lake Growers, Inc., 33 So.2d 858 (Fla.1948) (en banc) for the rule that “[C]onversion ***is an unauthorized act which deprives another of his property***

permanently or for an indefinite time.” The essence of the tort is not the acquisition of the property; rather, it is the wrongful deprivation. Star Fruit Co., *supra*, at 860. Apropos to this case, “[t]he wrongful destruction...of personal property by a bailee, ***contrary to the terms [of the bailment], terminates the trust ... and [an] action for conversion will lie.”)***

It is respectfully submitted that in accordance with the case law set forth above, that complainants were wrongfully deprived of their Mercedes at the moment respondents sold the vehicle to a third-party and title changed hands.

CONCLUSION

In closing, discovery is indeed needed in order to assist the Commission in developing a complete record in light of the conflicting statements made by respondents in this matter regarding the subject Mercedes described above which conflict with statements made by respondents in the ongoing matter at the Commission captioned as Crocus Investments, LLC et al., *supra*. It is respectfully requested that the Commission consider the issue of the conflicting statements regarding the wire transfer received by respondents in the amount of \$3500.00 which respondents claim in Federal Court was allegedly for the sale of the Mercedes to MEAA and where they claim in this forum was for the sale of a boat trailer to MEAA.

To the extent that the ID finds that the record does not contain evidence of a contract between the parties for the international ocean carriage of the Mercedes to Germany, the complainants have not yet had the opportunity to proceed with discovery herein and develop a full record containing the evidence which the ID found to be lacking. The Commission is also asked to consider complainants’ arguments regarding the existence of a contract between the parties for the international ocean carriage of the Mercedes to Germany, the existence of which was *admitted* by respondents in the sworn responses to interrogatories described above.

Additionally, the Commission is asked to consider the deposition testimony of Aleksandr Solovyev wherein he stated that the Mercedes and Porsche were shipped to Dubai and sold at the request “of a customer in the U.S.A.”, notwithstanding that he stated in a sworn response to interrogatories that he and his company Car Express & Import Inc. “had nothing to do with the Mercedes”.

Further, in accordance with the established industry custom and practice regarding the export of used vehicles as aforesaid, the Commission is respectfully asked to note that MTL’s acceptance of the certificate of title for the Mercedes from complainants does indeed constitute an act from which can be inferred that MTL had entered into a contract of carriage for the export of said vehicle.

As set forth herein, it is also respectfully submitted that the Commission has subject matter jurisdiction over complainants’ claims; and complainants have stated a cause of action for which relief could be granted. Specifically, it is requested that the Commission consider the sworn responses to interrogatories that were answered by the alleged president of respondent MTL, Alla Solovyeva,, where she explained that MTL sold said subject Mercedes “...pursuant to clause 15 of the MTL *House Bill of Lading...for unpaid freight* and other charges...”, as well as the sworn declaration of respondent Alper, wherein he states that the \$900.00 in “storage fees” for the Mercedes are allegedly due and owing “to date” (March 2014) ultimately begging the question as to whether or not the Mercedes was sold to satisfy “storage fees” for a “warehouse lien” as found by the Presiding Officer.

In addition, the Commission is respectfully asked to note that the \$900.00 in storage fees which allegedly became due and owing *prior* respondents’ purported sale of the Mercedes for \$3500.00 (alleged to have taken place December 6, 2013) are still somehow due and owing “to

date” (March 2014), further begging the question as to whether *any* monies were *ever* applied towards satisfying a “warehouse” lien which the Presiding Officer erroneously found to have been the basis for respondents’ confiscation of the Mercedes.

Lastly, with respect to the subject Mercedes, complainants articulated arguments that respondents had violated various sections of the Shipping Act (specifically sections 41104(10) and 41104(3) of the Act), and complainants have not abandoned those claims.

The information set forth herein does indeed warrant an amendment of the Complaint to the extent the Commission deems necessary, which would not be futile.

WHEREFORE, for the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the Initial Decision in this proceeding, and adopt Complainants’ recommended findings and analysis as set forth in these exceptions.

Dated: February 8, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Attorney for Complainants

ATTACHMENT A
COMPLAINANT'S EXCEPTIONS TO INITIAL DECISION

- I. The Initial Decision (“ID”) is in error because it gives the sense of advocacy on the part of the ALJ rather than impartial even-handed adjudication which is required by the Administrative Procedure Act; among its many shortcomings, the ID is arbitrary and capricious; it makes ultimate conclusions of fact which do not rationally flow from the Findings of Fact; it blatantly fails to consider at all evidence in the record on central issues; in some instances, the ID reaches conclusions of fact on key issues with no factual support whatsoever in the record. Furthermore, the ID blatantly and repeatedly ignores established Federal Maritime Commission regulations and law in its legal conclusions.
- II. The ID is in error because it completely ignores or gives little regard to the material evidence and arguments posited by Complainants as to the existence of a contract of carriage for the shipment of the Mercedes abroad.
- III. The ID is in error because it completely ignores or gives little regard to respondents’ own admission as to the existence of a contract of carriage for the shipment of the Mercedes abroad.
- IV. The ID is in error because it erroneously, and without basis in law or fact, determined that the respondents asserted a warehouse lien over complainants’ cargo for unpaid storage fees.
- V. The ID is in error because it ignores complainants’ allegations in the Complaint as well as those set forth in complainants’ response to the Presiding Officer’s Order to Show Cause and reply thereto regarding respondents’ unreasonable refusal to deal or negotiate with respect to the subject 2006 Mercedes SL65.
- VI. The ID is in error because it erroneously, and without basis in law or fact, determined that the respondents converted the subject 2006 Mercedes SL65 prior to the export of said automobile to Dubai.
- VII. The ID is in error because it incorrectly interprets complainants’ allegations in the Complaint as well as those set forth in complainants’ response to the Presiding Officer’s Order to Show Cause and reply thereto, and erroneously concludes that the allegation by complainant Ostrovskiy that the Mercedes was stored with MTL for the sole purpose of being exported back to Germany is somehow contradicted by the allegation in the Complaint that the Mercedes was stored with MTL “so that maintenance could be performed on the vehicle after which it would subsequently be shipped overseas.” These statements are not mutually exclusive.

- VIII. The ID is in error because it wholly misstates, distorts, and misrepresents allegations of fact made in the Complaint and in the complainants' response to the Presiding Officer's Order to Show Cause and reply thereto.
- IX. The ID is in error because it wholly ignores the fact that the storage charges for the subject Mercedes were payable after the date of the ocean liner bill of lading, thus the ID erroneously concluded that the respondents asserted a warehouse lien for said vehicle.
- X. The ID is in error because it faults the complainants for not producing a house bill of lading evidencing the shipment of the subject Mercedes, when it was the ALJ that had issued the instant Order to Show Cause from which these Exceptions arise, prior to the conduct of discovery herein.
- XI. The ID is in error because it ignores industry custom, standards, and practice with respect to the export of automobiles overseas and specifically with regard to the significance of the presentation of a certificate of a title to an NVOCC. Specifically, the ID erroneously fails to acknowledge that an NVOCC's acceptance of a certificate of title from a shipper is an acknowledgment of an NVOCC's intent to enter into a contract of carriage.
- XII. The ID is in error because it makes findings of fact in light of numerous conflicting statements made by respondents herein, which is improper under the standard of review set forth for dismissal under Federal precedent as stated in the ID.

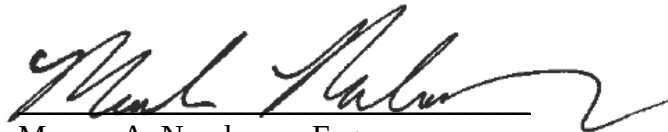
CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANTS' BRIEF IN SUPPORT OF ITS' EXCEPTIONS TO INITIAL DECISION** and **APPENDIX** upon Respondents' Counsel at the following address:

Montgomery McCracken Walker & Rhoads LLP
437 Madison Avenue, 29th Floor
New York, NY 10022
Attn: Eric Chang, Esq.
Attn: Stephen H. Vengrow, Esq.

Law Office of Peter Cipparulo, III, LLC
346 Route 206, Ste. K
Hillsborough, New Jersey 08844

by first class mail, postage prepaid, and by email to: EChang@mmwr.com; svengrow@mmwr.com; and PeterCipparulo@cipplaw.com.

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: Brooklyn, New York
February 8, 2017